Pre-rotation client failure placebo

Release-based design	Instrument coefficient (SE)	Observations
Successor Education Level	-0.030 (0.376)	1,408
Successor Bachelor-or-Above	0.363 (0.620)	1,408
Successor Master-or-Above	-1.045 (0.710)	1,408
Successor 985 Background	-1.011 (0.800)	1,413
Successor 985 or 211 Background	0.339 (0.496)	1,413
Successor Big 4 Background	-0.211 (0.355)	1,424
Successor CPA Quality	2.513 (3.313)	1,424

Notes: Dependent variable: target client's any-failure outcome in the predecessor's final audit year. This is a diagnostic for release-based instruments, not a test of the exclusion restriction. Audit-firm and rotation-year fixed effects; audit-firm-clustered standard errors.